stilts: narrow legs, V-shaped, perhaps made of single spikes that touch the ground near the same price.

The Results Snapshot shows the important numbers. Adam & Adam double bottoms have slightly above-average breakeven failure rates and mediocre average rises. That places the performance rank in the bottom half of the list of chart patterns. Throwbacks occur in two out of three trades, so you may be able to add to your position or initiate a new one during a throwback.

Let's take a tour to see what the pattern looks like.

Tour

Figure 26.1 shows the first example of an Adam & Adam double bottom. Since we are looking at bottoms, the pattern forms at the end of a downward price trend and it acts as a reversal of that downtrend. The pattern can also appear in the corrective phase of a measured move up (price trends upward, forms the double bottom during a retrace, and then continues trending upward).

Notice the twin spikes (bottoms) that happen so often in this pattern. They drop well below the surrounding price lows yet bottom near the same price level. If the bottoms are not single spikes, then they take on the shape of a narrow V. Eve bottoms, by contrast, are wide and rounded looking.

Price recovers between the two bottoms. The rise need not look rounded—many times it appears irregular. Volume is higher on the left bottom than on the right, as in this example. Thus, the volume trend recedes across the pattern.